

Tempus AI, Inc.
TEM NASDAQ

Buy	\$49.59 ▲ 0.22%	12M Price Target \$68.00	52-Week Range \$41.73 – \$104.32	Market Cap \$8.90B
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TEM: Reiterate Buy on FDA CDx Momentum, Partnership Wins

WHAT'S CHANGED

- TEM has rallied +6.8% over 5 sessions (\$46.43→\$49.59) on cumulative catalyst stack: FDA CDx clearance (6/1), new partnership announcements (6/5), and analyst upgrades (H.C. Wainwright reiterated Buy 6/2); stock now sits at only 13% of 52-week range, signaling early-stage recovery from the post-earnings -11.2% drawdown.
- Smart money mixed: options flow decisively bullish (P/C 0.31, unusual call buying at \$48.5 strike) but CEO Lefkofsky sold \$3.2M across three tranches on 5/27 at \$46-47, creating an overhang signal worth monitoring.

IMPLICATIONS

The convergence of FDA CDx approval, AI oncology platform upgrades, and new pharma partnerships meaningfully de-risks TEM's near-term revenue trajectory and supports the "underpriced growth narrative" thesis flagged by Simply Wall St. With Healthcare ETF +1.32% over 5 days outperforming Tech (-5.16%), TEM benefits from defensive healthcare rotation while retaining AI optionality—a rare dual-tailwind setup. However, CEO insider selling totaling \$3.2M just before the rally tempers conviction; this is likely 10b5-1 scheduled but warrants monitoring against any forthcoming secondary or capital raise.

VALUATION

At \$8.90B market cap on ~\$1.38B FY26E revenue, TEM trades at ~6.4x EV/Revenue—a discount to high-growth diagnostics/AI-health peers (NTRA ~9x, VEEV ~12x) despite 30%+ growth and accelerating Genomics + Data licensing mix. Our \$68 PT (+37% upside) applies 8.0x FY27E revenue, justified by FDA CDx-driven margin expansion and a path to gross margin >65%. Multiple re-rating hinges on path-to-profitability clarity by FY27 and continued data licensing TCV bookings momentum.

KEY RISKS

- Persistent operating losses and cash burn could force dilutive equity raise; CEO selling pattern raises this probability tail
- Reimbursement risk on Genomics testing (Medicare/private payer rate pressure) directly hits unit economics
- Competitive intensity from GH, NTRA, EXAS in liquid biopsy and from Epic/Flatiron in clinical data could compress pricing power

RECENT NEWS

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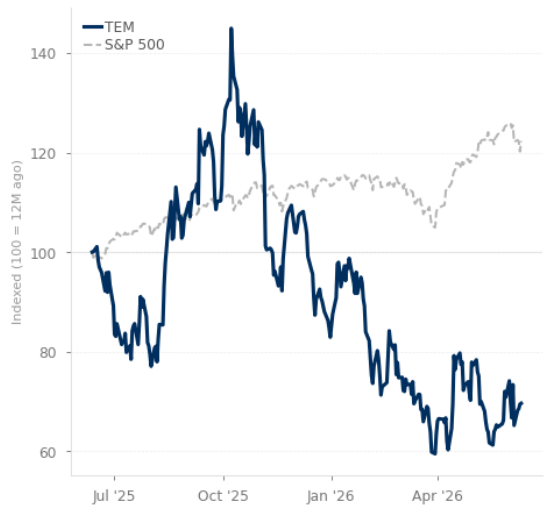
Key Data

Price (USD)	\$49.59
12M Price Target	\$68.00
Upside / (Downside)	+37.1%
Market Cap	\$8.90B
FY2026E Revenue	\$1,380M
FY2027E Revenue	\$1,780M
FY2026E EPS	(\$1.45)
FY2027E EPS	(\$0.85)
Fwd P/E	N/M

INVESTMENT PROFILE



12-MONTH PRICE PERFORMANCE VS. S&P; 500



TEM — Tempus AI, Inc. | June 11, 2026

PRICE OUTLOOK — SCENARIO TARGETS BY TIMEFRAME

TIMEFRAME	BULL CASE	BASE CASE	BEAR CASE
1 Month	\$56.00	\$51.00	\$44.00
6 Months	\$72.00	\$60.00	\$40.00
1 Year	\$92.00	\$68.00	\$36.00
2 Years	\$130.00	\$85.00	\$30.00
5 Years	\$220.00	\$130.00	\$22.00
10 Years	\$450.00	\$220.00	\$18.00

SECTOR INTELLIGENCE

HOT SECTORS: Technology, Healthcare AI

COLD SECTORS: Communication Services, traditional Pharma

ROTATION WATCH: With Tech +3.73% 1D but -5.16% 5D, capital appears to be rotating into defensive growth pockets—Healthcare AI sits at the intersection, benefiting from both AI capex narrative and demographic-driven oncology demand.

BYPRODUCT PLAY: Pharma R&D efficiency mandates accelerate demand for AI-native clinical data assets; secondary beneficiaries include Schrödinger (SDGR), Recursion (RXRX), and Veeva (VEEV) on the software/data layer.

OUTPERFORMERS & PEER CONTEXT

- NTRA (Natera): Sustained 30%+ revenue growth with positive FCF inflection, trading at ~9x EV/Revenue with proven oncology MRD leadership
- VEEV (Veeva Systems): Clinical/data SaaS rule-of-50 profile, demonstrating that healthcare data platforms can command 12x+ revenue multiples once profitability scales

TEM CONTEXT: TEM is pulling out of relative underperformance—the +6.8% 5-day move while Tech sector dropped -5.16% shows idiosyncratic catalyst response, suggesting fundamental narrative is regaining control over factor flows. Still lagging NTRA YTD on profitability gap, but valuation discount provides asymmetric setup if execution holds.

INVESTMENT STRATEGY

7/10 Conviction Score

Position Size: 2-4% of portfolio

Entry Points: \$45-50 on pullbacks; add on breakout >\$52

Time Horizon: 12-24 months

Thesis Invalidation: Revenue growth deceleration below 30% YoY or loss of major pharma data licensing partner

Hedging: Pair with short GH or NTRA; long-dated \$40 puts